

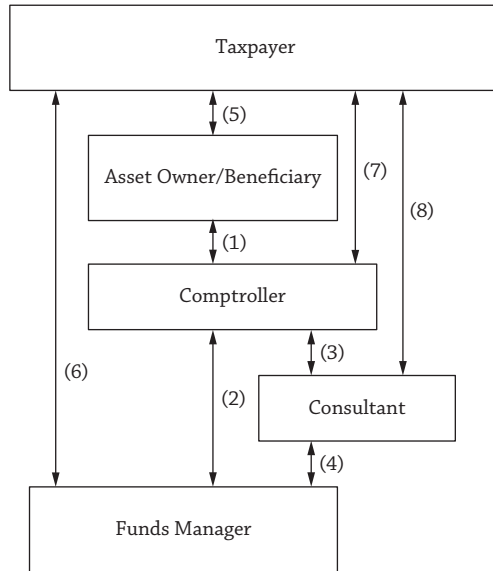


Figure 15.1

fund managers may be agents—relationship (6)—of the taxpayer. The comptroller himself is elected by New York residents, so he is an agent of the taxpayer in relationship (7). And finally, in relationship (8), some consultants working on NYSCRF matters are engaged by government rather than the comptroller, and so they serve as agents ultimately of the taxpayer and not the comptroller.

There are usually several layers of intermediation between the asset owner and the ultimate portfolio manager, and each layer brings additional principal-agent conflicts (and additional fees). For the current setup of NYSCRF, the beneficiaries as principal go through the comptroller, who then is principal to the fund manager. A given fund manager may himself outsource to fund managers beneath him. Not surprisingly, the ultimate goals of the asset owner carry less and less weight going down the chain of agents. Performance also suffers. Chen, Hong, and Kubik (2010) study intermediation in mutual funds (see chapter 16). Intermediation is actually very common in the mutual fund industry, where more than a quarter of funds outsource management to unaffiliated advisory firms (Vanguard's outsourcing to Wellington is a good example). Chen, Hong, and Kubik find that mutual funds managed externally underperform those managed internally.

Although all of these principal-agent relationships concern portfolio management issues, let's focus on the ones closest to the fund manager, where actual investments are being managed. In this case, there are two key differences between the standard principal-agent relationship and the delegated portfolio management one.